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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – II) END TERM EXAMINATION, JANUARY - 2022

COST AND MANANGEMENT ACCOUNTING

[Time: 2 Hours 30 Minutes] ***[Maximum Marks: 100]***

INSTRUCTIONS:

(i) There are THREE sections in this question paper.
(ii) Attempt questions from each section as per the directions.
(iii) Make suitable assumptions wherever necessary.

Multiple Choose Question :

Q.1. :Which of these is not an objective of CostAccounting?

(a) Ascertainment ofCost
(b) Determination of Selling Price
(c) Cost Control and Costreduction
(d) Assisting Shareholders in decisionmaking

Q.2. ***:*** Fixed cost is acost:

(a) Which changes in total in proportion to changes inoutput
(b) which is partly fixed and partly variable in relation tooutput
(c) Which do not change in total during a given period despise changes inoutput
(d) which remains same for each unit ofoutput

Q.3. : Element/s of Cost of a productare:

(a) Material only
(b) Labouronly
(c) Expensesonly
(d) Material, Labour andexpenses

Q.4. :Describe the method of costing to be applied in case of NursingHome:

(a) OperatingCosting
(b) ProcessCosting
(c) ContractCosting
(d) JobCosting

Q.5. : Bin Card isa

(a) Quantitative as well as value wise records of material received, issued andbalance;
(b) Quantitative record of material received, issued andbalance
(c) Value wise records of material received, issued andbalance
(d) a record of labour attendance

Q.6. : Which of the following is not a reason for an idle timevariance?

(a) Wage rateincrease
(b) Machine breakdown

(c) Illness or injury toworker

(d) Non- availability ofmaterial

Q .7. Service departments costs should be allocatedto:

(a) Only Servicedepartments

(b) Only Productiondepartments

(c) Both Production and servicedepartments

(d) None of the production and servicedepartments

Q.8. Cost of abnormal wastageis:

(a) Charged to the productcost

(b) Charged to the profit & lossaccount

(c) charged partly to the product and partly profit & lossaccount

(d) not charged atall.

Q.9. Which one out of the following is not an inventory valuationmethod?

(a) FIFO

(b) LIFO

(c) WeightedAverage

(d) EOQ

Q.10. Which of these is not a Material control technique:

(a) ABCAnalysis

(b) Fixation of raw materiallevels

(c) Maintaining storesledger

(d) Control over slow moving and non-movingitems

Answers for MCQ's:

1. **D**
2. **C**
3. **D**
4. **A**
5. **B**
6. **A**
7. **C**
8. **A**
9. **D**
10. **C**

SECTION-A
(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

(a) Write a note on ABC Analysis.
(b) Explain the term Bin card. Discuss its utility.
(c) Job costing is more accurate than process costing. Comment
(d) Distinguish between the Standard Cost and the Historical costs. Which of them is more valuable?
(e) "Cost accounting is becoming more and more relevant in the emerging economic scenario in India". Comment.
(f) What is Variance Analysis? Is a favourable Variance an indicator of efficiency?
(g) Management accounting is concerned with the accounting information that is useful to management.
(h) Define the term Perpetual Inventory System? What are its advantages and limitations, if any?
(i) While manufacturing costs are part of costs, the selling and distribution overheads are the result of Policy". Discuss"
(j) Define the term Standard Costing. Explain with reasons why an industrial concern should introduce Standard Costing System.

SECTION-B
(Long Answer Type Questions)

Attempt all questions of the following: ***(4×10=40)***

Q.2. *(a)* Draw a Stores Ledger Card recording the following transactions that took place in a month under LIFO method

1 Jan	Opening stock	200 pieces @ Rs 2 each
5 Jan	Purchases	100 pieces @ Rs 2.20 each
10 Jan	Purchases	150 pieces @ Rs 2.40 each
20 Jan	Purchases	180 pieces @ Rs 2.50 each
2 Jan	Issues	150 pieces
7 Jan	Issues	100 pieces
12 Jan	Issues	100 pieces
28 Jan	Issues	200 pieces

OR

(b) From the following information, write the stores ledger account based on 'Simple Average Method' of pricing issues:

May, 202 0	*Receipts* May, 2010	*Issues*	
12	Purchased 400 unit @ Rs 59 unit	3	140 units
14	Refund of Surplus from a work order	4	250 units
	30 units @ Rs 58 per unit	8	210 units
20	Purchased 480 units @ Rs 62 per unit	16	350 units
25	Purchased 640 units @ Rs 60 per unit	24	608 units
28	Refund of Surplus from a work order 24 units		
(issued on 3 May)		26	524 units
31	Received from Supplier 150 units @ Rs 64 per unit		

Opening balance on May 2010 1,100 units @ Rs 60 per unit

Q.3. *(a)* Ashoka Ltd. furnishes the following products = 100 units

Standard:

Material for 70 units finished products = 100 units

Price of Material	Rs 1 per unit

Actual:

Output:	4,20,000 units
Material used:	5,60,000 units
Cost of Materials	Rs 5,04,000

Calculate:

(i) Material Cost Variance (ii) Material Usage Variance (iii) Material Price Variance

OR

(b) Define Economic Order Quantity. From the following figures given below, calculate Economic Order Quantity and number of orders to be placed in a year.

Total consumption of material per year	10,000 kg
Buying cost per order	Rs 50
Unit cost of material	Rs 2 per kg
Carrying and Storage Cost	8% on average inventory

Q.4. *(a)*A product passes through three distinct processes A, B and C for completion. 100 units are produced. Cost data are as under:

	Process A	Process B	Process C
	Rs	Rs	Rs
Materials	12,000	6,000	4,000
Labour	**10,000**	**8,000**	**10,000**
Direct Expenses	**2,000**	**400**	**2,000**

Indirect expenses are Rs 5,600 to be apportioned on the basis of labour cost.Prepare Process Cost accounts

OR

*(b)*A product passes through three distinct processes X,Y and Z for completion during January 2020. The cost books show the following information:

	Process X	Process Y	Process Z
	Rs	Rs	Rs
Materials	3,000	1,500	1,000
Labour	2,500	2,000	1,500
Direct Expenses	5,00	2,160	905

The indirect expenses for the period were Rs 1,400. The by- product of Process B were sold for Rs 145. Residue of process C were sold for Rs 166. Prepare the Process Accounts showing the cost of each process and the cost of production of finished product.

Q.5. *(a)* The philosophy of Standards is to avoid all Wastages and losses and not to allow them to cloud the cost of production" Discuss

OR

(b) Explain the term Contract Costing? To which industries it is found suitable? Differentiate between contract costing and unit costing

SECTION-C
(Case study / Numerical Question)

Q.6. Attempt all parts of the following: ***(2×15=30)***

Case Questions

6(a) Classification of costs, manufacturing sector. The Fremont, California, plant of New United Motors Manufacturing, Inc (NUMMMI), a joint venture of General Motors and Toyota, assembles two types of cars (Corollas and Geo Prisms). Separate assembly lines are used for each type of car.

Classify each of the following cost items as:

a. Direct or indirect (D or I) costs with respect to the number of cars of each type assembled (Corollas or Geo Prism).
b. Variable or Fixed (V or F) costs with respect to how the total costs of the plant change as the total number of cars of each type assembled changes. (If in doubt, select on the basis of whether the total costs will change substantially it there is a large change in the total number of cars of each type assembled.)

You will have two answers (D or I; V or F) for each of the following items. Elaborate your answer with suitable reason.

Cost Item	D or I	V or F
A. Cost of tires used on Geo Prisms		
B. Salary of public relations manager for NUMMI plant		
C. Annual awards dinner for Corolla suppliers		
D. Salary of engineer who monitors design changes on Geo Prism		
E. Freight costs of Corolla engines shipped from Toyota City, Japan to Fremont, California		
F. Electricity costs for NUMMI plant (single bill covers entire plant)		
G. Wages paid to temporary assembly- line workers hired in periods of high production (paid on hourly basis)		
H. Annual fire- insurance policy cost for NUMMI plant		

6(b) From the following information calculate (1) Prime cost (2) Factory cost (3) Cost of Production (4) Total Cost (5) Profit

Stock of materials – opening Rs 3,76,000 and closing Rs 4,00,000 ; Materials Purchased Rs 16,64,000; Direct Wages Paid Rs 4,76,800, Indirect Wages Rs 32,000; Salaries to administrative staff Rs 80,000 ; Freight Inward Rs 64,000 ; Freight Outward Rs 40,000; Sales Rs 31,59,600; Cash discount Rs 28,000; Bad debts 37,600; Repairs of Plant Rs 84,800; Factory Rent Rs 24,000; Office Rent Rs 12,800; Travelling expenses Rs 24,800; Salesman Salary Rs 67,200; Depreciation on Machinery 57,800; Depreciation on furniture Rs 4,800; Director's fees Rs 48,000; Factory electric expenses Rs 96,000; Fuel for boiler Rs 1,28,000; Sale of Scrap Rs 1,000; General charges Rs 49,600 ; Manager's Salary Rs 96,000

The manager's time is shared between the factory and the office in the Ratio of 20:80.